24NWCV02207 24NWCV02207

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 24NWCV02207 Hearing Date: August 12, 2026 Dept: 11

Reyes (24NWCV02207)

Tentative

Ruling Re: Motion to Approve Private Attorneys General Act (“PAGA”) Settlement

Date: 8/12/26

Time: 11:00 am

Moving Party: Rigoberto
Reyes (“Plaintiff”)

Opposing Party: None

Department: 11

Judge: Bruce Iwasaki

TENTATIVE RULING

The hearing on Plaintiff’s motion to approve PAGA settlement is continued. Plaintiff is granted leave to submit evidence establishing that the Labor and Workforce Development Agency (“LWDA”) received adequate notice of the settlement.

The Court finds that the amounts for attorney fees, attorney costs, and administration costs are fair, reasonable, and adequate.

During oral arguments,
the Court will ask Plaintiff's counsel to discuss the gross settlement amount, net settlement amount, and releases.

BACKGROUND

This is a wage-and-hour
representative action.

Here, Plaintiff requests approval of the
parties' PAGA-only settlement.

LAW

PAGA permits an "aggrieved employee"
to recover Labor Code civil penalties on the LWDA's behalf, if the LWDA declines to collect the penalties itself.
(Cal. Lab. Code, § 2699, subd. (a); see also Mejia v. Merchants Building Maintenance, LLC (2019) 38 Cal.App.5th 723, 732-733.) The California Supreme Court has distinguished between Labor Code "civil penalties" that are "intended to 'punish the employer' for wrongdoing, often 'without reference to the actual damage sustained'" and "statutory damages" that "primarily seek to compensate employees for actual losses incurred" – a PAGA action can recover only the former. (Z.B., N.A. v. Superior Court
(2019) 8 Cal.5th 175, 182, 198 [holding that Labor Code section 558 "amount sufficient to recover unpaid wages" is not a "civil penalty" recoverable via PAGA].) "A PAGA action is 'fundamentally a law enforcement action designed to protect the public and not to benefit private parties.'" (Mejia, supra, 38 Cal.App.5th at 732; see also Iskanian v. CLS Transportation Los Angeles, LLC (2014)
59 Cal.4th 348, 381.)

PAGA requires a court to "review and
approve any settlement of any civil action filed" under PAGA, but it does not provide review and approval standards or guidelines. (Cal. Lab. Code, § 2699, subd. (l)(2).) The California
Supreme Court has interpreted PAGA as requiring courts to ensure that "any negotiated [PAGA] resolution is fair to those affected." (Williams v. Superior Court (2017) 3

Cal.5th 531, 549, emphasis added).) The parties affected by a PAGA settlement include: (1) the LWDA, who receives 65% of settlement funds and is “bound by the outcome of the proceeding to adjudicate the employee’s PAGA claim” (Mejia, supra, 38 Cal.App.5th at 732); (2) the aggrieved employees, party and non-party, who receive 35% percent of settlement funds and are, like the LWDA, bound by a PAGA action judgment; (3) plaintiffs’ counsel, who may be awarded reasonable attorney fees and costs; and (4) defendant, who pays the settlement.[1]

Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56 provides greater detail about the standard courts should apply when evaluating PAGA settlements. The opinion adopts the “fair, reasonable, and adequate” standard used in class settlements.

DISCUSSION

Settlement Terms

Gross settlement amount = $415,000.00

Attorney fees = $138,333.00

Attorney costs = $23,000.00

Administration costs = $6,000.00

Incentive award = $0.00

Net settlement amount = $247,667.00

Analysis

The hearing is continued. Plaintiff was required to submit a copy of the settlement to the LWDA within a reasonable time prior to this hearing to give the LWDA a chance to consider the settlement. Plaintiff’s counsel declares: “As set forth in the accompanying proof of service, the LWDA has been provided notice of this motion and the PAGA settlement.” (Rivapalacio Decl., ¶ 7.) The proof of service states: “I caused the above-described document to be delivered to the Labor Workforce Development Agency via online process at the PAGA Filing website in accordance with the procedure imposed by the LWDA." (Proof of Service, p. 2.) Missing, though, is actual confirmation and/or a receipt showing that the LWDA received the documents. The Court grants Plaintiff leave to supplement the record with evidence demonstrating confirmation and/or reception.

For now, the Court offers the following thoughts.

Plaintiff's counsel's declaration establishes that, in preparation for mediation, the parties took part in informal discovery. Plaintiff's counsel used the information to assess the value of the case and associated risks. Ultimately, Plaintiff's counsel came up with maximum and discounted exposure estimates. Plaintiff's counsel asserts that the gross settlement amount is within a reasonable range, especially considering the defenses Defendant raised, and that the settlement is fair, reasonable, and adequate. (See Rivapalacio Decl., ¶¶ 3-7.)

Gross Settlement Amount and Net Settlement Amount

Plaintiff's counsel calculated Defendant's maximum PAGA exposure to be $1,147,300. (See id. at ¶ 6.) She determined the amount without stacking. (See ibid.)

The Court agrees that stacking is unlikely. "Until the employer has been notified that it is violating a Labor Code provision (whether or not the [Labor] Commissioner or court chooses to impose penalties), the employer cannot be presumed to be aware that its continuing underpayment of employees is a 'violation' subject to penalties." (Bernstein v. Virgin America, Inc. (9th Cir. 2021) 3 F.4th 1127, 1144.) There does not seem to be a prior citation by the Labor Commissioner in this case.

Nevertheless, the Court needs more information. The calculation of the maximum exposure amount is based on a $100.00 penalty per pay period ($100 × 11,473 pay periods), yet Plaintiff alleges multiple violations (overtime violations, meal period violations, rest period violations, etc.). (See Rivapalacio Decl., ¶ 3.) Is the $100.00 penalty meant to cover all alleged violations that each aggrieved employee allegedly experienced during each pay period? If yes, why does Plaintiff's counsel believe it is more reasonable to use a single penalty per pay period than to do a claim-by-claim assessment? Plaintiff's counsel should be prepared to answer these questions. If necessary, the Court will give Plaintiff's counsel an opportunity to submit a supplemental declaration regarding the purported reasonableness of the aggregate penalty.

Whether the net settlement amount ($247,667.00) is fair, reasonable, and adequate depends on whether the gross settlement amount ends up being found fair, reasonable, and adequate.

Attorney Fees

The amount for attorney fees ($138,333.00) is fair, reasonable, and adequate. This is a contingency case. (See id. at ¶ 8; see also Motion, p. 14.) In contingency cases in the complex courts, 33% to 35% of the gross recovery is standard.

Attorney Costs

The amount for attorney costs ($23,000.00) is fair, reasonable, and adequate. It is under 6% of the gross settlement amount, and it is within the range that has been approved in other complex cases in Department 11.

The settlement agreement caps attorney costs at $23,000.00. (See id. at Ex. 1, § 3.2.1.) If the costs fail to reach the cap, the Court will award the incurred amount to ensure that additional settlement money goes to the LWDA and aggrieved employees.

Administration Costs

The amount for
administration costs ($6,000.00) is fair, reasonable, and
adequate. Like the attorney costs, it is
within the range that is typically approved in Department 11.

The Court will award the incurred
amount if it turns out to be less than the cap.
(See id. at Ex. 1, § 3.2.2 [capping administration costs at $6,000.00].)

Incentive Award

Plaintiff does not
request an incentive award.

Releases

The releases state:

5. RELEASES OF CLAIMS. Effective on the date when Defendant fully funds the entire Gross PAGA Settlement Amount Plaintiff, the State of California, Aggrieved Employees, and PAGA Counsel will release claims against all Released Parties as follows:

5.1 Separate Individual Claims. Pursuant to a separate confidential settlement agreement, in addition to the Gross PAGA Settlement Amount, Defendant has agreed to separately pay Plaintiff an individual settlement to resolve all of his individual non-PAGA claims. The individual settlement is made in exchange for a general release of all of Plaintiff's individual non-PAGA claims arising out of his respective employment with Defendant, including a waiver of any unknown claims pursuant to California Civil Code § 1542, which will be detailed in a separate confidential settlement agreement.

5.2 Release by Plaintiff, the State of California, and Aggrieved Employees. Plaintiff, the State of California, and all Aggrieved Employees are deemed to have fully, finally, and forever released the Released Parties from all Released PAGA Claims.

5.3 Release by PAGA Counsel. PAGA Counsel release on behalf of

their present and former attorneys, employees, agents, successors and assigns
the Released Parties from all claims for PAGA Fees incurred in connection with
the Operative Complaint and the PAGA Period facts stated in the Operative
Complaint and the PAGA Notice.

(Id. at Ex. 1, §§ 5-5.3,
bolding and underlining in original.)

The Court is concerned about overbreadth. First, do
PAGA counsel have standing to release claims on behalf of "former
attorneys, . . . successors and assigns"?
(Id. at Ex. 1, § 5.3.) Second, is the definition of "Released
Parties" overinclusive?[2] At the hearing, Plaintiff's counsel
needs to address the scope of the releases.

[1] Recently, the Legislature amended PAGA,
changing the LWDA's recovery from 75% to 65% and the aggrieved employees'
recovery from 25% to 35%. (See
Chin, et al., Cal. Practice Guide: Employment Litigation (The Rutter Group
2025) ¶ 17:830.) The Court orders the
parties to adjust the settlement to comply with these percentages.

[2] "'Released
Parties' means Defendant and its former, present, or future owners, parents,
and subsidiaries, and all of their current, former, and future spouse(s),
children, officers, directors, members, employees, consultants, parents,
shareholders, joint venturers, agents, predecessors, successors, assigns,
accountants, insurers, reinsurers, and/or legal representatives." (Id. at Ex. 1, § 1.26.)